

कार्यालय प्रधान महालेखाकार (लेखापरीक्षा)
हिमाचल प्रदेश, गॉर्टन कैसल
शिमला - 171 003



Office of the Principal Accountant General (Audit)
Himachal Pradesh,
Gorton Castle, Shimla-171 003

I/1641263/2026

07-10-2026

To,

Sh. Sanjay Kumar,



Subject: Supply of information under Right to Information Act, 2005.

Refer to your application bearing registration no. AGHPS/R/E/26/00057 dated 17.09.2026 submitted under RTI Act, 2005. The requisite information is enclosed herewith as detailed below:

- Pont No 1, 2 & 3: The latest Audit and Inspection Report of Executive Engineer, IPH Division, Karsog (for the year 2022-24) comprising Part-I, Part-II-A, Part-II-B, Part-III Part IV and Part V.
- Point No 4. The requested Inspection Report and its audit findings have not been published for *suo motu* disclosure under Section 4(1)(b) and Section 4(2) of the RTI Act, 2005. Consequently, no web link is available for it.

First appeal under section 19 (1) of the Act can be submitted within 30 days of receipt of this reply, to the First Appellate Authority (FAA).

Digitally signed by
Avindra Kumar Rai
Sr. Dy. Accountant General (Admn.)-cum-
23 Central Public Information Officer

Name and Address of the First Appellate Authority:

Shri Purushottam Tiwary,
Principal Accountant General (Audit),
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Audit and Inspection Report on the audit of the accounts of the JSV Division Karsog for the period 08/2022 to 12/2024

PART-I INTRODUCTION

(A) Introduction:- The Jal Shakti Vibhag (JSV) has been established to construct and maintain Water Supply, Sewerage and Irrigation Schemes under this Division. The Engineer-in-Chief, Himachal Pradesh, Shimla, is the Head of the Department. He is the Advisor to the Government in all matters concerning schemes for irrigation and drinking water.

(B) Geographical Jurisdiction:- This Department is situated at Karsog in District Mandi. The jurisdiction of this office comprises the entire Urban and Rural area of Sub Division Karsog, Churag, and Kotlu. The works are being carried through its Sub- Divisions.

(C) Overall hierarchy of the department: Administrative Department (Additional Chief Secretary JSV to the Govt. of HP). The head of the department is Engineer-in-Chief, JSV. The control of the Division is under the Superintending Engineer, JSV Circle Sundernagar which falls under Chief Engineer Mandi Zone. The following Sub Divisions were functional under the administrative control of Divisional Office:

1. Sub Division Karsog
2. Sub Division Churag
3. Sub Division Kotlu

(D) Budget and financial performance

The details of budget and expenditure incurred there-against from 2022-23 up to 2024-25(upto 12/2024) are as under:-

(Amount in lakh)

Year	Establishment		Non establishment	
	Budget	Expenditure	Budget	Expenditure
2022-23	1326.69	813.32	1025.63	522.44
2023-24	1089.47	1054.78	676.91	676.93
2024-25 (upto 12/2024)	1064.24	851.15	1096.09	332.81

(E) Incumbency

The charge of the office during the period covered under audit was held with the following officers:

S. No.	Name	Designation	Period
1	Er. Rajat Kumar Garg	Executive Engineer	20.04.2022 to 14.10.2022
2	Er. Krishan Kumar	Executive Engineer	15.10.2022 to till date

(F) Scope of audit

The present inspection which includes a general examination and test check on the accounts of the JSV Division Karsog for the period 08/2022 to 12/2024 was conducted by an audit party consisting of Sh. Pawan Kumar, Asstt. Audit Officer, Sh. Yogesh Kumar Dhonchak, Assistant Audit Officer and Sh. Vishal Sahni, Sr. Auditor during the period from 29.01.2025 to 04.02.2025 (06 working days).

(G) Sampling procedure

The months 03/2023, 03/2024 and 07/2024 were selected on the basis of monthly expenditure as detailed in selection file and also Sub Division Karsog was taken for detailed checking on the basis of selection made by the worthy Deputy Accountant General in the selection file.

(H) Records checked

Records produced and checked during audit are Cash book, records regarding Pay Bill Register, Medical Reimbursement Register, TA Register, Stationery Register, Budget allotment files, and gathering information by issuing of audit memos. Audit conclusion was drawn on the basis of analysis of data and replies received from the department.

The Inspection Report has been prepared on the basis of information supplied and records made available by the auditee unit. The office of the Principal Accountant General (Audit), H.P. Shimla disclaims any responsibility for misinformation and non-supply of information/records by the auditee. The results of the current audit have been incorporated in the succeeding paragraphs.

PART-II

(Audit Findings)

PART-II-(A)

(Significant Audit Findings)

Reference Number: OBS-1828553

Para 1: Non-obeyance of Hon'ble Higher court orders- irregular passing of contractor's bills: Rs. 27.00 lakh

As per point [7\(ii\)\(d\) of the judgement](#) of the Hon'ble High Court of Himachal Pradesh dated 05-01-2022 in CWP-2395, no bill of the contractor for transport supply of the minor mineral, which in the terms of the 2015 rules is required to be carried out with transit passes etc. Shall be cleared by any state department/authority unless it is accompanied by transit pass - Form W/X issued by competent authority.

However, the state government [vide notification](#) no. Dated No. Ind-II(F)6-14/2014-Vol-I dated 10.02.2022 inserted the clause 81-A in Himachal Pradesh Minor Mineral Rules 2015, which stated that "Any person, not being a mining lease holder and not in contravention of Rule 72,75,79 and 80, if could not produce transit pass after the stage of transit, shall be liable to pay royalty at the applicable rates and penalty @ 25% of the royalty". However, Hon'ble High Court vide its judgement dated 20.06.2023 in CWP 868 of 2023 struck down clause 81-A which reinstated the *ibid* judgement in CWP 2395. Thus, no payment shall be made to the contractor without obtaining transit passes.

Scrutiny of records of the office of the Executive Engineer, HPJSV Karsog revealed that payments were released to the contractors for various works and transit passes (M/X/Y forms) were submitted in their names. However, upon checking these passes on the website of the Geology Department, it was observed that most of the transit passes were issued in name of other individuals or not found, indicating that the contractors had forged the transit passes by changing name of person and place of supply. The details are as under: -

Vr. No./ Month	Name of work	Name of contract or	Name in transit pass submitted	Name in transit pass as per Government website	Expenditu re incurred (in Rs.)
6/March 2024	Prov. LIS at Randol Sabot GP Thalli Tehsil Karsog	Tarun Kumar	Tarun Kumar	Not found	409308
7/March 2024	-do-	Tarun Kumar	Tarun Kumar	Not found	420597
9/March 2024	-do-	Tarun Kumar	Tarun Kumar	Not found	397250
10/March 2024	-do-	Tarun Kumar	Tarun Kumar	Dinesh chauhan	464761
11/March 2024	-do-	Tarun Kumar	Tarun Kumar	Not found	418086
14/March 2024	Prov. Various Kuhl from	Hiten Kumar	Hiten Kumar	Kamal Kishor	311776

	Pangna Khad to Sahal Bakhhol & Nagrawn				
16/July 2024	RR damages to WSS Pathrevi	Uma Dutt	Uma Dutt	Narayan Singh	165230
27/July 2024	LWSS Sorta Kalashan	Pankaj Sharma	Pankaj Sharma	Dinesh Chauhan	113249
Total					2700257

In addition to above, it was noticed that in case of Voucher no. 13 of March 2024 passed for Rs. 3.73 lakh, the transit passes submitted by the contractor pertain to four other persons. Furthermore, usage of these transit forms by concerned contractors in other offices cannot be ruled out in Audit.

In view of the above, it is evident that the transit passes attached to the bills either do not relate to the specified work, resulting in undue favour through the passing of bills.

In reply, the department [stated](#) that “*Vouchers mentioned in audit enquiry were passed unknowingly, and in future transit passes will be verified in the website of geology department. Besides, transit passes will be received in name of concerned contractor only. Compliance in this regard will be shown during next audit.*”

Reply is not acceptable as the action of the department has resulted in undue favor to contractors in the form of passing of bills.

PART-II-(B)

(Other incidental Audit Findings)

Reference Number: OBS-1828518

Para 2: Unfruitful expenditure on execution of Lift Irrigation scheme Chakhana Tumman: Rs. 118.94 lakh; Splitting of works: Rs. 92.77 lakh and Non finalization of bills: Rs. 70.01 lakh

Lift Irrigation Scheme to village Chakhan Tumman in Tehsil Karsog to provide irrigation facilities to cover CCA of 44.10 hectares in two villages viz. Chakhan and Tumman were approved under NABARD (RIDF-XXV). [Administrative Approval & Expenditure Sanction](#) was conveyed by Special Secretary (IPH) to the Government of H.P. in July 2019 for Rs. 204.73 lakh. Working estimate for the scheme had been approved by Superintending Engineer, Sundernagar circle for [Rs. 208.51 lakh](#). The scheme was designed to provide irrigation facilities to cover CCA of 44.10 hectares in two villages viz. Chakhan and Tumman. The source of the scheme is Chhatri khad having discharge of 366 LPS.

An amount of [Rs. 118.94 lakh](#) had been incurred on the scheme upto the year 2023-24. As per the [monthly progress reports](#) submitted to higher authorities, Project completion certificate was awaited from Sub-divisional office and execution of 100% percent works had been completed as detailed below: -

Sr. No.	Scope of work	Quantity to be executed	<u>Work executed</u> <u>(in per cent)</u>
1	Site development		100%
2	C/o head weir	1 no.	-
3	C/o RCC sumpwell 50000 ltr	1 no.	100%
4	C/o pump house and attendant room	1 no.	100%
5	C/o RCC outlet/BP	1 no.	100%
6	C/o anchor block	1 no.	100%
7	Prov. For toilet & WC	1 no.	100%
8	C/o RCC dome type delivery tank	1 no.	100%
9	C/o protection chamber for hydrant	1 job	100%
10	Fixing of 63mm hydrant	33 no.s	100%
11	Supplying 63 mm hydrant	1 job	100%
12	SOP		100%
13	Electrical installation to pump house		100%
14	Barbed wire fencing		100%
15	Rising main	1250 Rmt	100%
16	HDPE pipe of various dia	11320 Rmt	100%

The following irregularities had been observed during audit:

- **Non- provision of highest flood level and dykes in working estimate -**

As per Central Public Health and Environmental Engineering Organisation ([CPHEEO Manual \(Para 2.2.2\)](#)), the highest flood level observed at the site selected should be taken into account and the treatment plant, pumping station structures, etc. should be built above the high watermark or may be surrounded by dykes, to prevent damage due to flooding. A retaining wall is a structure built primarily to hold back soil on a slope or uneven terrain, while a dyke is a larger embankment constructed along a riverbank or coastline to prevent flooding by holding back large bodies of water, essentially acting as a barrier against a wider expanse of water.

Scrutiny of records revealed that the highest flood level and dykes had [not been](#) taken into consideration during preparation of the detailed estimate of the scheme. Further, the department had constructed retaining walls (17 Rmt) in front of Sump well to protect from soil erosion beneath the sumpwell, however not surrounded these components by dykes, to prevent damage due to flooding. In the month of July 2023, the ***pump house, Retaining wall and gravity main*** [had been damaged](#) due to heavy floods.

- **Splitting of works -Rs. 92.77 lakh-**

The Secretary IPH to the Government of Himachal Pradesh vide its letter dated [08.09.2016](#) stated that splitting of works in the IPH department is not acceptable unless there are strong location specific reasons to do the same. The Secretary IPH to the Government of Himachal Pradesh vide its letter dated [03.10.2018](#) reiterated that tenders in any form except e-tendering shall be accepted for amount involving above Rs. 5 lakhs.

Scrutiny of records revealed that above work was [split up into 25 jobs](#) and awarded to different contractors for total award amount of Rs. 92,76,536/-. The details are given in the [Annexure](#) attached.

Splitting up of work into various agreements seems to be granted merely to avoid approval of the competent authority, resulting in un-competitive market rates and deficient quality of work due to non-participation of big contractors. Cases of undue advantage to the contractor could not be ruled out.

- **Non finalization of bills- Rs. 70.01 lakh**

[Clause 9 of e-tendering document Public Works \(PW\)-8](#) clearly provides for finalization of Bill of the Contractor within 3 months (6 months for Contract exceeding 15 lakh) from the date of completion. Further, the Engineer-in-Chief, HPPWD, Shimla vide letter No. PW-

CTR-32-20/Genl. Instr./2011-21194-21284 dated 28.1.2012 issued instructions to all Superintending Engineers, and Executive Engineers in HPPWD that there is a general tendency among the field engineers to neglect the final bills of the contractors after completion of the work for months and even for years. It is a very bad tendency and has to be deprecated.

During scrutiny of records, it was noticed that out of 25 jobs of LIS Chakhan Tumman, eight works were completed by the contractors, but their final bills have not been prepared/passed even after a lapse of two to five years as detailed below:-

Sr. no .	<u>Name of sub work</u>	Agreement no. & year	Awarded amount(in Rs.)
1	P/L/J of MSERW pipe/ GI pipe	419/2019-20	4997355
2	L/J & Testing of HDPE pipe 90 mm dia=1660 Rmt in distribution Network.	80/2022-23	276183
3	L/J & Testing of HDPE pipe 90 mm dia=1650 Rmt in distribution Network.	81/2022-23	274521
4	L/J & Testing of HDPE pipe 75 mm dia=1235 Rmt in distribution Network.	178/2022-23	188764
5	Laying, jointing and Testing of HDPE Pipe from Node DT-OL 30 from RD 0-1500 and C/O 1 No out let and Hydrant Protection Chamber	28/2020-21	434089
6	Laying, Jointing of HDPE pipe from Node OL25-OL26, OL30-OL31, OL30-OL32 and C/O 3 Nos Out let i/c Hydrant Protection Chamber)	293/2020-21	245245
7	Laying, jointing of HDPE pipe from Node OL1-OL2, OL2-OL3,OL3-OL4, OL4-OL5 of various dia in main line and C/O 3 Out let i/c Hydrant Protection Chamber	16/2020-21	321580
8	Laying, jointing of HDPE pipe from Node HW-SW, DT-BP1, BP1-OL1 of various dia in main line and C/O Out let and Hydrant Protection Chamber	17/2020-21	263541
			7001278

• **Less-deduction of the security deposit of Rs. 0.97 lakh**

The contractor whose tender is accepted will be required to furnish by way of a security deposit for the due fulfillment of his contract guarantee. Security@ 5% was required to be

deducted from the running bills payable to the contractor. However, it was seen that in case of a sub-work i.e. /L/J of MSERW pipe/ GI pipe, payment amounting to Rs. 43,22,000/- was made to the contractor upto his 3rd RA bill but security of Rs. 1,18,677/- only was deducted against Rs.2,16,000/- (5% of gross amount of passed bills) from a contractor.

In addition to above, as per online damage reports submitted to higher authorities in July 2023, an amount of Rs. 60.00 lakh was required for restoration of scheme. However, no work had been done for restoration or completion of the scheme till date. The scheme could not be commissioned by the department as of December 2024 after incurring unfruitful expenditure of Rs. 118.04 lakh.

In reply to audit enquiry, the Executive Engineer while confirming the facts and figures as correct and stated that the finalization of bills will be done, work was split up for early execution and pumping machinery with other components were washed away during floods of 2023.

Efforts may be made for early completion of the scheme so that the intended benefits could be provided to the public.

Reference Number: OBS-1828524

Para 3: Awarding of works to ineligible contractors: Rs. 132.76 lakhs

Rule 8 of the HP IPH Enlistment Rules, 2013 provides that contractors registered under the 'D' Class can participate in tenders within their zone of registration but are not eligible to participate in tenders outside their zone of registration.

During test check of records of Jal Shakti Division, Karsog it was noticed that 19 no. of works were awarded to various 'D' Class Contractors registered outside Mandi Zone for an amount of Rs. 132.76 lakhs during the period of audit. The details of the agreements and awarded amount are given below:

(Amount in Rs.)

Sr. No.	Name of contractor	Zone of Registration	Agreement no.	Total Awarded amount
1	Vaishali films	Shimla	581, 582, 583, 584 & 585 of 2023-24	1743900
2	Vikas Sohal	Hamirpur	175, 176, 177, 178 of 2023-24	1790599
3	Keshav Sohal	Hamirpur	179 & 180 of 2023-24	705996

4	Puneet Kumar	Shimla	80, 81, 245, 246, 553, 561, 566 & 595 of 2023-24	9035771
Total				13276266

It can be seen from the above that these class D contractors were not registered under the Mandi zone, but the works were awarded to the contractors out of the zone of their registration in contravention of the HP Enlistment Rules 2013.

[In reply](#), the Executive Engineer while confirming the facts and figures as correct and stated that the contractors will be directed to register themselves in mandi zone. The reply is not acceptable as the award of these works to above contractors was in contravention to HP Enlistment Rules, 2013.

Reference Number: OBS-1828532

Para 4: Delay in Sewerage System Implementation in Karsog town and Blockade of funds in deposit head- Rs. 40.00 lakh

As per [CPHEEO Manual on Sewerage and Sewage Treatment Systems – 2013](#), Sewerage and Sewage treatment technology is the branch of environmental engineering and the basic principles of biochemistry are applied to the treatment and environmental issues in the disposal and reuse of treated sewage. The ultimate goal is the protection of public health in a manner commensurate with environmental, economic, social and political concerns.

[Scrutiny of records](#) revealed that an amount of [Rs. 40,00,000/-](#) lakh had been released by Engineer-in-chief Jal Shakti Vibhag Shimla for the sewerage scheme under Demand no. 28 & 32 including O&M and energy charges in [September 2019](#). As of December 2024, this amount was still lying in the deposit head, unutilized for more than 5 years, resulting in a blockade of government funds.

Meanwhile, the Principal Secretary (Jal Shakti Vibhag) to the Govt. of Himachal Pradesh accorded [AA&ES](#) for a project viz. “**Water and sanitation Project in Five towns of Himachal Pradesh**” in **September 2023** which includes the sewerage system in Karsog town, to be funded under the Agence Française de Développement (AFD). Karsog, a [Nagar Panchayat](#) in District Mandi with a population of [6,056 \(Census 2011\)](#) is divided into 7 wards. Currently, there is no sewerage system in Karsog, and domestic effluents are evacuated through open drains or, in a few cases, septic tanks. As a result, the effluents end

up in the river, adversely affecting its water quality. As of December 2024, no funds had been received from the funding agency, AFD.

[In reply](#) to audit enquiry, the Executive Engineer while confirming the facts and figures as correct stated that *“An amount of 40 Lakhs was received during September 2019 from En-C Shimla, however clear direction were not received from higher authority regarding utilization of funds. Besides, there is no sewerage system in Karsog town due to which fund could not be utilized. DPR for construction of sewerage system has been sent to AFD and fund are awaited from funding agency after which construction of sewerage system will be started.”*

The reply of the department is not convincing, either funds should be utilized after getting approval from the higher authority so that the sewerage facilities could be provided to the people of the area or unutilized funds should be refunded to the funding agency.

Reference Number: OBS-1828537

Para 5: Delay in deposit of Government receipts into the treasury: Rs 12.92 Lakh

[Rule 3\(1\) of Himachal Pradesh Financial Rules 2009](#) provides that all money received by or on behalf of the Government either as dues of the Government or otherwise for deposit, remittance there from, shall be deposited into Government account immediately (on subsequent day, if not possible on the same day), in accordance with sub-general or special rules as may be issued under the constitution and under any other rules and instructions of the Government, issued from time to time.

During test check of records, it was noticed that an amount of Rs. 12,92,312/- was received/collected (during the period covered under audit) on account of collection of water and other charges from various consumers. The said amount was deposited into Government Account with the delay ranging from 7 days to 162 days, which was in contravention of *ibid* rule.

Karsog Sub Division

Sr No	Date of Receipt	Receipt No	Amount	Date of Govt. Receipt	Date of Challan	No of days taken to deposit in Govt. A/C
1	12/01/23	73067-73141	192449	19/01/23	19/1/2023	7
2	23/1/2023	73191-73238	77305	04/02/23	4/2/2023	8
3	08/02/23 to 16/02/23	73288-73315	85280	13/03/23	13/03/23	25-33
4	13/03/23 to 24/03/23	73327 - 73409	277360	29/03/23	31/03/23	7-18
5	15/06/23	73521-73579	87879	23/06/23	23/06/23	8
6	12/03/24 to 20/03/25	74320 - 74458	172697	27/03/24	27/03/24	7-15
7	05/04/24 to 06/04/24	74535-74562	20702	12/04/24	12/04/24	6-7
8	18/04/24-24/04/24	74643-74675	80575	01/05/24	03/05/24	9-15
9	02/05/24 To 09/05/24	74676-74823	112528	16/05/24	16/05/24	7-14
10	17/05/24 to 20/05/24	74967-81046	68771	27/05/24	27/5/2024	7-10
11	14/10/24	81701-81763	43855	22/10/24	22/10/24	8
12	14/11/24	81889 - 81932	34670	21/11/24	21/11/24	7
Kotlu Sub-division						
1	12/09/22 - 20/09/22	58501 - 75578	31698	10/10/22 (₹27755/-), 16/12/24 (₹7067/-)	10/10/22 24/12/24	28-95

2	22/03/23	75200	6543	21/08/23	21/08/23	162
Total			1292312			

In reply, the Executive Engineer stated that “It is submitted that most of the sections in Karsog division are situated at distance of 50 km (approx.) And there is huge shortage of field staff due to which receipts mentioned in audit enquiry could not be deposited in stipulated time. However, necessary direction will be issued to Sub Division/ section for timely deposit of receipt into government treasury. Compliance in this regard will be shown during next audit”.

Needful may be done under intimation to audit.

Reference Number: OBS-1828549

Para 6: Execution of inadmissible works under SDRF/NDRF Rs. 15.61 lakh

As per approved items and norms of SDRF ([October 2022](#)), Government Buildings viz. residential quarters, buildings of educational institutions (higher secondary/ middle schools, colleges, etc.), long term/ permanent restoration work etc. are not covered under SDRF. Further, SDRF/NDRF funds were to be utilized for repair/ restoration of immediate nature of the damaged infrastructure. Audit noticed the following deficiencies:

However, scrutiny of records of Executive Engineer, HPJSV Karsog revealed that following works were executed under the head SDRF/NDRF (deposit-8443) by the Division and payments were released to the contractors in the month of March 2023 for the works not covered under SDRF guidelines/approved norms as detailed below:

Vr. No.	Month	Name of work	Sub head (SH)	Expenditure incurred (in Rs.)
48	March 2023	Soiling of link road Ghangoti to Dabru Dawar	Providing and laying CC Pavement RD 7/630 to 8/745	318019
29	March 2023	-do-	-do- at RD 4/760 to 4/890	389771
50	March 2023	-do-	-do- at RD 4/500 to 4/630	390137
60	March	-do-	Providing and laying Kharanja stone RDs job	462610

	h 2023		no. 22	
Total				1560537

[In reply](#) to audit enquiry, the Executive Engineer while confirming the facts and figures as correct and stated that the necessary rectification in the monthly account will be done to adjust the expenditure in correct head.

The reply is not acceptable as the division office had irregularly utilized the relief funds meant for restoration of schemes.

Reference Number: OBS-1828567

Para7: Irregularities in Sub Divisional Water Testing Laboratories

(1) Non-Deployment of the staff in the laboratory as per the requirement for the testing of samples.

As per [para 5.4.1](#) of Uniform Drinking Water Quality Monitoring Protocol, staff required for **District/Sub District Level Water Testing Laboratory** and actual position of staff employed in Sub-divisional water testing laboratories are as below:

Sr. No.	Name of Post	No. of employee required	Posted in Sub divisional water testing laboratory Karsog	Posted in Sub divisional water testing laboratory Churag
1.	Chemist/Water Analyst	1	1 (outsourced)	1 (outsourced)
2.	Microbiologist/ Bacteriologist	1	0	0
3.	Laboratory Assistant	2	0	1 (Regular)
4.	Lab Attendant	1	0	0
5.	Data entry operator	1	1 (outsourced)	1 (outsourced)

Further, as per ibid protocol, these positions can be filled with regular or contractual personnel or services obtained from manpower agencies or outsourced to NGOs etc. **However, all States should ensure that at least one regular post of Water Analyst/Chemist is made available and filled in each Water Testing Laboratory.** If the same is not available, States should consider creating the post of one regular Chemist/Water Analyst in each laboratory.

During test check of records, it was noticed that neither the Microbiologist/ Bacteriologist nor the Chemist/Water Analyst on the regular basis has been deployed in the Laboratories.

(2) Verification of genuineness of samples

As per [para 5.4.6](#) of Uniform Drinking Water Quality Monitoring Protocol, while taking samples from drinking water sources or consumers, the samplers should take the signatures of the operators, Gram Panchayat (GP) members or household members in the relevant register to verify the genuineness of the samples.

Audit noticed that [11290](#) (Sub divisional water testing laboratory Karsog) and [10989](#) (Sub divisional water testing laboratory Churag) samples were taken in the period from April 2022 to December 2024 for water quality testing.

However, the sampler had not maintained any register for taking signatures of the operators, GP members or household members at any place so as to verify the sources/ taps from where these were taken. In the absence of such registers, the genuineness of the samples collected could not be verified in Audit.

(3) Non achievement of Targets for testing of water quality in laboratories.

Targets were fixed for every year under WQMSP by the Member Secretary-cum-Executive Engineer (DWSM) for the testing of water for Chemical and Bacteriological parameters. The details of the Bacteriological targets are as under:

Year	Sub Divisional Lab Karsog			Sub Divisional Lab Churag		
	Targets	Achieved	Short (%)	Targets	Achieved	Short
2022-23	2334	1829	505 (21.6%)	2334	2228	106 (4.5%)
2023-24	2613	2225	388 (14.8%)	2613	2047	566 (21.6%)
2024-25 (till 12/24)	2613	2217	396 (15.1%)	2613	1662	951 (36.3%)

However, as per records maintained in the Sub Divisional Water Testing Laboratory, Karsog and Churag, it was noticed that the division has not completed the targets given by the competent authority.

[In reply](#) to audit enquiry, the Executive Engineer while confirming the facts and figures as correct and stated that the registers will be maintained and directions will be issued to the lab staff.

Needful may be done under intimation to audit.

Reference Number: OBS-1828569

Para 8: Outstanding amount under “Miscellaneous Works Advances” Rs. 32.45 lakh

As per chapter [13.4.5 & 13.4.6 the Central Public Works Department \(CPWD\) Code](#) (followed by Himachal Pradesh), Items in “Miscellaneous Works Advances” under the Major Head “799-Suspense” is meant for all debits, the allocation of which is not known or which cannot be adjusted until recovery or settlement is affected or write off ordered. Further items in the “Miscellaneous Works Advances” account are cleared either by actual recovery, or by transfer, under proper sanction or authority, to some other head of account. Items or balances which may become irrecoverable should not be so transferred until ordered to be written off.

During test check of records, it was noticed that there was an outstanding balance of [Rs. 32,45,424/-](#) under the head “Miscellaneous Works Advances” at the close of accounts for the month of December 2024. The [details of outstanding items are given in following table](#): -

Sr. No.	Month	Description of Item	Amount (in Rs.)
1	12/2001	Sh. Anil Sain Contr. On a/c of recovery of GI pipe	16299
2	3/2009	Sh. Virender Thakur Sanjauli Shimla .	1894
3	5/2013	Sh BS Rana VPO Suni Contractor	33170
4	03/2018	Sh. Ami Chand Contractor on A/C of recovery of Excess Payment.	24671
5	03/2019	Himachal Khadi Aashram Karsog	192690
6	05/2019	Sh. Chaman Lal Contr. Behli A/C of recovery of Excess Payment.	4005
7	09/2019	HP State Electronics Dev Corpn. Ltd. IT Bhawan Mehli Shimla	116038

8	06/2020	HP State Electronics Mehli Shimla-13	46441
9	02/2021	Sh. Lalit kumar Cont. on a/c of Excess Payment	18228
10	02/2021	<i>Er. Dutt Ram A.E Karsog on a/c of wrong payment</i>	16432
11	02/2021	<i>Er. Neeraj Vaidya A.E Kotlu on a/c of wrong payment</i>	10000
12	02/2022	Sh. Tej Lal Contractor	2580
13	02/2023	HP State Civil Supply Corp. Shimla	933257
14	03/2023	HP State Civil Supply Corp. Shimla	893302
15	06/2023	HP State Civil Supply Corp. Shimla	893302
16	10/2023	<i><u>Er. Kishori Lal A.E Churag on a/c of wrong payment</u></i>	31315
17	11/2023	Sh. Omkar Contractor	11800
Total:-			3245424

It can be seen from above table that three items regarding Assistant Engineers of Division on account of wrong payment were placed under MPWA. Further scrutiny of records revealed that an amount of Rs. 31,315/- was incurred for petty payments by Sub division office Churag in October 2023 and this amount was kept under Miscellaneous Works Advances as of December 2024 which was irregular.

The above amount was recoverable from the firms/Contractors, but the final adjustment was yet to be made (December 2024).

In reply to audit enquiry, the Executive Engineer while confirming the facts and figures as correct and stated that the efforts will be made to clear the outstanding miscellaneous advance. Necessary action may now be done to clear outstanding amount/items in MPWA.

Reference Number: OBS-1828572

Para 9: Huge shortage of technical staff in the division

Duties and responsibilities of a Junior Engineer in Jal Shakti department is to supervise the actual execution of Water Supply Schemes, Irrigation Schemes, Flood Control Works,

Sewerage Schemes, Projects works and other affairs in IPH Department and repairs in his section done through the contractors or by daily labour and to see that they are executed in accordance with the plans and specifications approved by the competent authority for the said work with sound materials. Further, the drawing branch headed by the Divisional Head Draughtsman assists the Executive Engineer to preparation of all preliminary and detailed estimates of all original works under the charge of the concerned division on the basis of site data received from the Sub-Divisional Offices. He will be responsible to prepare schedule of quantities, comparative statements, justification for call/processing of tender cases.

During scrutiny of records and information supplied by office of Jal Shakti Division Karsog, it was noticed that against sanctioned strength of ten posts, only four Junior Engineers had been posted in Division. Further, in Drawing branch, Head Draughtsman, Draughtsman and Junior Draughtsman had not been posted as [detailed in table](#) below: -

Sr. no.	Name of section/post	Post Vacant since
1	Head Draughtsman	09/2023
2	Draughtsman	03/2018
3	Junior Draughtsman	09/2023
4	Junior Engineer - Jhungi Section	09/2023
5	Junior Engineer - Bagshar Section	09/2023
6	Junior Engineer - Tattapani Section	06/2023
7	Junior Engineer - Kelodhar Section	09/2023
8	Junior Engineer - Section Ashla	06/2023
9	Junior Engineer - Section Kotlu	03/2024

Thus, shortage of staff in the division had negative impact on efficient execution and operation of water supply/ irrigation/ sewerage schemes and prove to be putting extra burden on existing staff.

[In reply](#), the Executive Engineer while confirming the facts and figures as correct and stated that the correspondence will be done. The matter may be taken up with the higher authorities regarding shortage of staff and compliance may be shown during next audit.

Reference Number: OBS-1828576

Para 10: Deficiencies in maintenance of records such as tender sale register, tender open register, and contract agreement register

As per [para 18.7 of the CPWD works Manual](#), the register of sale of tender documents contain a chronological record of the issue of tender documents, showing the names of the persons to whom issued, the number of forms issued and the amount received. Further, the register should be treated as a Subsidiary Cash Book and its pages should be machined numbered.” To avoid the possibility of bogus and fake tenders being submitted, it is necessary that the tender documents are sold individually and acknowledgments taken from

contractors or their accredited representatives in the register of the sale of tender documents while handing over the tender documents to them.

Further, as per [para 19.5 of the CPWD works Manual](#), the earnest money given by all the tenderers except the lowest tenderer should be refunded immediately after the opening of the tenders, or latest within a week from the date of receipt of tenders. Entry of Demand Draft/Banker's cheque received as earnest money with the tenders may be kept in the Tender Opening Register, and these need not be deposited in the bank except for the lowest tenderer.

The Executive Engineer should periodically review the Tender Opening Register with a view to ensure that the earnest money is refunded in time. If the tenderers do not come forward to get their challans endorsed for refund, the challans should be sent to them by Registered Post within a week after expiry of the prescribed period. It will be the responsibility of the Divisional Accountant to ensure that Earnest Money is refunded to unsuccessful tenderers in the time specified above.

(A) **Tender Sale Register**: - Form-6 sold to contractors for quoting of rates is entered in tender sale register. The contractor to whom form is sold is required to sign the register. This register shows how many contractors are interested in participating in the bidding process. The amount realized from the sale of form-6 is remitted into treasury.

During scrutiny of the records of the division, the following irregularities were noticed in the Register of sale of tender documents: -

(i) No record of number of tender documents i.e. no. of documents sold, balance, etc. was available in the division.

(ii) The tender documents were shown as sold to the contractors and no signatures of contractors or its representatives were found in the tender sale register.

In the absence of this, number of tender documents sold and the amount of tender form fees received could not be ascertained.

(B) **Tender open register**: It shows the records of rates quoted by the contractors, which is opened in front of Committee members. All the members are required to sign the tender open register. It shows the contractor's L1.

In Tender open register of the division the following deficiencies were noticed: -

(i) Details of L1 contractor whose bid was recommended for approval were not mentioned in the tender open register.

(ii) Details of earnest money received from the tenders were not found in the tender opening register.

In the absence of this, it is impossible to ascertain that whether the division had taken earnest money from the bidders and refunded to unsuccessful bidders in time.

(C) **Agreement register**: When tenders are opened, L-1 is decided, a contract agreement is entered with the contractor, and all the details are required to be posted in the agreement register which shows agreement no., name of work, estimated cost, awarded amount, name of contractor, stipulated period, earnest money, etc. However, it was noticed that:

(i) No agreement during the period of audit were found signed/verified by the Executive Engineer in the agreement register.

(ii) Details i.e. awarded amount, date of commencement, etc. in some of the agreements were left blank.

In the presence of such irregularities, the possibility of bogus or fake tenders being submitted in the division, undue benefits to the contractors and misappropriation of earnest money and tender sale fees could not be ruled out.

In reply to audit enquiry, the Executive Engineer while confirming the facts and figures as correct stated that the record will be maintained and will be shown to audit.

Needful may now be done and shown during next audit.

Reference Number: OBS-1832751

Para 11: Analysis of work

Name of work	Improvement of WSS Karsog & adjoining area to make it the level of NAC (Urban Standard) in Tehsil Karsog, Distt. Mandi, Himachal Pradesh
<u>A/A & E/S</u>	Under Secretary (JSV) to the Govt. of Himachal Pradesh vide letter no. IPH-B(F)5-13/2018-I dated 02.08.2021 amounting to Rs. 31310.70 lakh.
<u>Technical Sanction</u>	Accorded by Chief Engineer, Mandi Zone letter no. JSV-CE (MZ)-WA-II-Estimate(15)/2022-6013-15 dated 05.07.2022 for Rs. 12,15,40,207/-.
Awarded Amount	Rs. 7,14,79,081/-
<u>SOP</u>	Rs. 34,90,963/-
<u>Stipulated date of completion</u>	Three years (as per DPR)
Up-to-date expenditure	Rs. 824.53 Lakh (up to 12/2024)
<u>Status</u>	In progress

Details of Awarded tenders and stipulated period

Sr. No .	Agg. No. & Year	Name of Contractor	Name of Work	Award Letter NO. & Date	Awarded Amount(in Rs.)
1	120/2023-24	Sh. Kamal Dev Sharma, Village & P.O Majari, Tehsil Shri Naina Devi Ji, Distt. Bilaspur (HP)	Improvement of WSS Karsog & its adjoining area to make it to the level of NAC (Urban Standard) in Tehsil Karsog, Distt. Mandi (HP)(SH:- Civil Works, P/L Rising main and Pumping Machinery, Gravity Mains, Distribution System and dedicated Fire Fighting network).	10037-43 dt. 21.10.2023	65749397
2	107/2024-25	Sh. Yash Pall Sharma Contt. Village & Majari Teh. Shri Devi , Distt, Bilaspur HP	Improvement of wss Karsog & its adjoining area to make it level of NAC (Urban Standard) in Teh. Karsog Distt Mandi HP (SH- Jecketing of filter bed of WSS Karsog)	5501-06 dt.15-10-24	319073
3	109/2024-25	Sh. Satish Kumar Contt. Village Himmer, Tehsil Ghumarwin , Distt. Bilaspur HP	Improvement of wss Karsog & its adjoining area to make it level of NAC (Urban Standard) in Teh. Karsog Distt Mandi HP (SH- C/,O Boundary around WTP Alyad and Pump House Nayara)	5489-94 dt. 15-10-2024	462952
4	134/2024-25	Sh. Satish Kumar Cont. Village Himmer, Tehsil Ghumarwin , Distt. Bilaspur HP	Improvement Of WSS Karsog & its adjoining area to make it to level of NAC (Ubran Standard) in Tehsil Karsog Distt. Mandi HP (SH: Providing laying joining and testing jointing and testing GMSEW Pipe 65mm dia from form bore	7132-38 dt. 12-12-2024	546750

			well Nayara to Sump Well Nayara)		
5	135/2024 -25	Sh. Satish Kumar Cont. Village Himmer, Tehsil Ghumarwin , Distt. Bilaspur HP	Improvement Of WSS Karsog & its adjoining area to make it to level of NAC (Ubran Standard) in Tehsil Karsog Distt. Mandi HP (SH: Providing laying joining and testing jointing and testing GMSEW Pipe 65mm dia from form bore well Baral to Sump Well Nayara)	7126-31 dt. 12-12-2024	532800
6	270/2021 -22	M/S Sidharth Bore Well VPO & Tehsil Ratti, Distt. Mandi (HP)	Improvement of WSS Karsog & Its Adjoining area to make it the level of NAC in Tehsil Karsog, Distt. Mandi (HP) (SH:- C/O 1 No Bore Well 90 mtr deep near Imla Bimla Khad).	9210-14 dt. 14.12.2021	779350
7	271/2021 -22	M/S Sidharth Bore Well VPO & Tehsil Ratti, Distt. Mandi (HP)	Improvement of WSS Karsog & Its Adjoining area to make it the level of NAC in Tehsil Karsog, Distt. Mandi (HP) (SH:- C/O 1 No Bore Well 90 mtr deep near Nayara (By pass road).	9215-19 dt. 14.12.2021	777450
8	272/2021 -22	M/S Sidharth Bore Well VPO & Tehsil Ratti, Distt. Mandi (HP)	Improvement of WSS Karsog & Its Adjoining area to make it the level of NAC in Tehsil Karsog, Distt. Mandi (HP) (SH:- C/O 1 No Bore Well 90 mtr deep near Moksh Dham).	92220-24 dt. 14.12.2021	779350
9	273/2021 -22	M/S Sidharth Bore Well VPO & Tehsil Ratti, Distt.	Improvement of WSS Karsog & Its Adjoining area to make it the level of NAC in Tehsil Karsog, Distt. Mandi (HP) (SH:- C/O 1 No Bore Well 90 mtr deep near	9225-29 dt. 14.12.2021	779350

		Mandi (HP)	by pass road).		
10	366/2021-22	M/S Sidharth Bore Well VPO & Tehsil Ratti, Distt. Mandi (HP)	Improvement of WSS Karsog & its adjoining area to make it level of NAC in Tehsil Karsog, Distt. Mandi (HP) (SH:- C/O 1 No Tube well 86.86 mtrs deep at Bhanthal near eden temple)	16455-59 dt. 25.03.2022	752609
Total					71479081

The [year-wise budget allotment and expenditure](#) incurred on the work were as under:

(Rupees in Lakh)

Sr. No.	Year	Budget	Expenditure
1.	2022-23	343.84	343.84
2.	2023-24	242.13	242.13
3.	2024-25 (till 12/2024)	496.36	238.56
	Total	1082.33	824.53

The following discrepancies were observed while conducting the detailed analysis of the selected work:

(i) Irregular splitting up of tenders –undue favour to contractors- Rs. 7.15 crore.

Special Secretary(IPH) to the Govt. of Himachal Pradesh vide Notification [No. IPH-B-\(A\)9-1/2010-11 dated 03.10.2018](#) has stated that the Jal Shakti Vibhag executes the work as per the CPWD Manual with up to date amendments.

As per [serial no. 20\(i\), Appendix-1 of CPWD Manual-2012](#), the tenders for the split up portion shall be accepted by the same competent authority who permitted such splitting for projects/ works. The fact that the project/ work has been split up for the purpose of inviting tenders should, however, be clearly brought to the notice of the authority competent for split up, explaining the reasons while forwarding the tenders for such works.

Further, as per [point no. 1.10 \(iii\) of the Manual for procurement of works](#) (updated June 2022) by the Department of Expenditure, MoF, GOI, no project or work will be split up to bring it within the sanctioning powers of a lower authority.

Audit scrutiny revealed that the work under analysis has [split up into 10 no. of works](#) detailed in above table having awarded amount of Rs. 71479081/- without any prior permission of the competent authority.

By splitting up the tenders, eligible class of contractors are unable to participate in the bids, which reduce the possibility of getting competitive rates but may also result in favoritism to certain contractors. The reason for splitting up the tender without taking prior permission from the Competent Authority may be stated and needful may be done under intimation to audit.

(ii) Unauthorized execution of quantity of approved items by the contractor for Rs. 24.00 lakh - irregular modification in scheme without prior approval of competent authority.

Jal Shakti Vibhag executes the works [as per specifications of the Himachal Pradesh Public Works Department](#) following the [CPWD Works Manual 2019](#), Standard Operating Procedure for CPWD Manual 2019, CPWD Maintenance Manual, CPWD General Condition of Contract 2020 for construction works, etc. for execution of works.

The instructions of framing of realistic estimates-restriction of change in specifications/ substitutions/ deviations during the course of execution were issued by the Pr. Secretary (PW) to the Govt. of Himachal Pradesh vide letter No. PBW (B&R) (B) 17 (6) 1/2001 standing order No. 1/2001-Amendment 2004 [dated 27.10.2004](#).

Further, the Engineer-in-Chief, HPPWD, Shimla vide letter dated [02.09.2019](#) again reiterated that **it is the duty and responsibility of the concerned Executive Engineer to complete the work without any deviation, and if any deviation is necessitated, prior approval including change of specification, substitutions, extra items etc. in writing of the competent authority shall be obtained without incurring expenditure or creating financial liabilities under all Heads of Account.**

The government of Himachal Pradesh had clarified through notification No. PBW (B&R) (B) 17(6)1/2001 [dated 27.10.2004](#) that if deviations in estimates are necessitated due to technical reasons, *force majeure*, site conditions etc., such deviation should be brought to the notice of the Zonal Chief Engineer and on his directions only the revised estimates should be prepared. Such revised estimates should also receive approval from the competent authority.

During scrutiny of bills of the contractors, it was noticed that the contractor had executed the quantity of following items without written orders of the Executive Engineer and approval of higher authority. However, the Executive Engineer had allowed unauthorized execution of higher rate items without the approval of higher authority, and payment of [Rs. 147.58 lakh](#) was released to the contractor. These items were executed more than the estimated quantity as provided in BOQ.

Details of the items executed in excess as per [1st](#) and [2nd](#) bill of the M/S Kamal Dev Sharma is given below:

(Amount in Rs.)

Item No.	Description of item	Quantity as per BOQ	Rate as per BOQ	Amount	Quantity actually executed	Actual Amount executed	(-) Difference / (+) Deviation	Amount of Deviation
1.12	C/O Main Storage Tank (MST-1) 110000 liters capacity at Bamla (Partially underground), Phase-3	1	1200000	1200000	2.9	3480000	1.9	2280000
7.01	100mm dia (M) P/E	1910	225	429750	2000	450000	90	20250
7.02	80mm dia (M) P/E	1758	175	307650	2046	358050	288	50400
16.01	Excavation in foundations, trenches, etc. in earth work, lift up to 1.50 mtrs. Stacking the excavation soil not more than 3 mtrs. Clear from the as of exaction.	47.2500	342	16159.50	168.9017	57764	121.6517	41604.5
16.03	Providing from work with steel plates 3.15 mm thick welded with angle iron in frames 30x30x5 mm so as to give a fair finish i/c centring, etc.	396.0500	421	166737.05	415.8450	175071	19.795	8333.95
Total				2120296.55		4520885		2400588.45

It was also noticed that no deviation statement was prepared and approved by the Competent Authority for execution of excess quantity by the contractor. Thus, the Executive Engineer authorized excess quantity without obtaining approval for the deviation from the competent authority as the quantity executed by the contractor was above against the quantity mentioned in BOQ.

In the absence of written order to contractor and prior approval of competent authority for execution of excess quantity, the possibility of extending of undue benefit to contractor could not be ruled out in audit.

The deviation in item no. 1.12 shows that the structure of the scheme has been modified, for which no correspondence regarding seeking permission from the competent authority was found on record.

(iii) Wrong debit of expenditure to the work under analysis for Rs.4.42 lakh

During scrutiny of records related to work under analysis, it was noticed that the tender for preparation of Detailed Project Report (DPR) providing scheme to NAC area of karsog in Tehsil Karsog, Distt. Mandi, H.P. assigned to M/S Rebound Enviro Tech Pvt. Ltd. (Agreement no. 404 for 2021-22) under the Sewerage schemes to NAC area of karsog in tehsil karsog Distt. Mandi, HP scheme. It was further noticed that 1st & Final bill of the ibid contractor has been finalized and paid through [voucher no. 117 dated 20.08.2024 for Rs. 4,42,500/-](#) by the division which was charged to the work under analysis. Reason may be furnished to the audit.

(iv) Diversion of funds for Rs. 19.54 lakh.

During the scrutiny of the [records](#), it was noticed that the expenditure of material as detailed below was charged to the work under analysis. However, the material was issued to the other work and no record for adjusting the expenditure of the same was found in the documents. Material booked to the scheme was taken in MAS No. 61/2023-24 P-68 & 118.

S . No .	Indent No. or reference	Month	Material	Quantity Charged to work	Rate per meter	Quantity issued to other work	Amount/ Value(in Rs.)
1	Karsog section/ 2022-100	03/2023	G.I. Pipe 65 mm dia- light	15250	525	400	210000
2	Karsog section/2023-324	02/2024	G.I. Pipe 32 mm dia- light	7000	240	3949	947760

3	G.I. Pipe 25 mm dia- light	6100	190	1350	256500
4	G.I. Pipe 20 mm dia- light	6000	139	3885	540015
Total					1954275

This action of the department has resulted in inflated cost of the scheme to the tune Rs. 19,54,275/-. Hence, reasons for the irregular expenditure may be furnished to the audit.

(v) Irregular charging of the material to the work under analysis: Rs. 100.06 lakh.

During test check of records of the work under analysis, it was noticed that the material issued from Jal Jeevan Mission vide indent no. [Karsog sec-Sply-1 dated 31.03.2023](#) for Rs. 1,00,06,446/- charged to the work under analysis. Material booked to the scheme was taken in [MAS No. 61/2023-24 P-68](#). Later the same indent was taken back in the stock account. This action of the department has resulted in inflated cost of scheme to the tune Rs. 1,00,06,446/-.

Hence, reasons for the irregular expenditure may be furnished to the audit.

(vi) Non maintenance of site order book

[Para 25.1 of CPWD works manual](#) provides maintenance of Site Order Books. The Site Order Books shall be maintained in the form prescribed in Appendix 27. The Site Order Book shall be printed and its page machine numbered and issued by the Executive Engineer indifferent sizes containing sufficient number of pages, depending upon the magnitude of the work. A flyleaf should be attached with each Site Order Book containing instructions regarding maintenance of Site Order Books. These will be maintained properly and preserved for a period of 5 years or up to the time all disputes arbitration cases of the work are finally settled, whichever is later, after completion of a work in the same manner as a Measurement Book.

As far as the Executive Engineer and Assistant Engineer are concerned, they should in variably sign the Site Order Book in token of their having read all the instructions issued by various Officers and replies made thereto. In case the Executive Engineer or Assistant Engineer himself wants to give any instructions, he should record them in the Site Order Book. In regard to important matters, they may find it necessary to communicate such orders even in writing in the form of inspection notes. The Junior Engineer/Assistant Engineer should also record his observations in the Site Order Book if he finds any defective work going on, or if the contractor is not complying with any of

The terms of the contract, or on the slow progress of work, if any. The Site Order Book should be maintained at the site of the work, and it should never be removed from there under any circumstance. The Executive Engineer should also periodically review the Site Order Book to ensure that it is being properly maintained and used. The Site Order Book should be

consulted at the time of making payments to the contractor. The Assistant Engineer should record the certificate on the bill(s) submitted by the contractor to the effect that the Site Order Book has been verified before signing such bill(s). This would enable the Assistant Engineer to ensure whether the defects pointed out during construction have been rectified or not, and also to propose part rates, if necessary, before the payments are made for the items of work for which defects were pointed out but have not been rectified.

However, it was noticed that neither the site order book was maintained at the site nor the record of any inspections was recorded. Reasons for the same may be furnished to audit.

(vii) Non test check of measurement.

The measurements recorded by the subordinate officials should be test checked by the Assistant Engineer and Executive Engineer to the extent of 50% and 10% respectively. It was, however, noticed that the Executive Engineer, had not test checked the record entries of measurements made in the measurement books of the work under analysis. Reasons for not carrying out the required test check of measurements recorded in the measurement book may be stated. Needful may be done now and compliance be shown at the time of next inspection.

(viii) Non maintenance of contractor's ledger

The contractor ledger is not being maintained in the division. Due to non-maintenance of contractor's ledger, tracing of material issued, their consumption and recovery could not be ascertained. The reason for non-maintenance of contractor's ledger may be stated and needful may be done under intimation to audit.

PART-III

(Follow up on findings outstanding of previous Inspection Reports)

Inspection Report (Year)	Para No.	Title of Para	Money Value (Rs. in lakh)	Remarks
2010-11	2	Unfruitful expenditure on improvement of Benthali Balwin	15.79	<u>In view of compliance made, para is settled</u>
	4	Analysis of work "PWSS Sorta Kalashan Bakhrot, Tehsil Karsog, Distt.		

		Mandi, H.P."		
	4C	Irregular utilization of budget	20.00	Compliance awaited Para stands.
	4(D)	Wrong debit to work	1.18	Compliance awaited Para stands.
	4(E)	Delay in completion of work		In view of compliance made, para is settled
	4(F)	Non-production of records	159.34	Compliance awaited Para stands.
	4(H)	Advance payment for supply of G.I. pipe	24.47	Compliance awaited Para stands.
	7©	Irregular purchase of Bill Books/Receipt Books	1.39	Compliance awaited Para stands.
2013-14	2	Unfruitful expenditure on construction of LWSS Bagra Thach Gattu&JhardarRs. 29.67 lakh	29.67	Compliance awaited Para stands.
	5	Analysis of work"Providing LWSS to NC/PC habitation of GwalpurTebanSarahan in Tehsil Karsog, Distt. Mandi, H.P."		
	5(B)	Irregular expenditure	49.56	Compliance awaited

		incurred in excess of the amount of A/A&E/S Rs. 49.56 lakh		Para stands.
	5©	Irregular expenditure in excess of Technical Sanction Rs. 111.62 lakh	111.62	Compliance awaited Para stands.
	5(D)	Unsigned work abstracts		Compliance awaited Para stands.
	5(E)	Wrong credit to work Rs. 45.01 lakh	45.01	Compliance awaited Para stands.
	5(F)	Wrong debit to work Rs. 10.26 lakh	10.26	Compliance awaited Para stands.
	5(H)	Procurement of machinery much in advance Rs. 39.07 lakh	39.07	Compliance awaited Para stands.
	5(K)	Irregular awarding of work by splitting up Rs. 234.88 lakh	234.88	Compliance awaited Para stands.
	5(L)	Non-ledgering of material Rs. 1.43 lakh	1.43	Compliance awaited Para stands.
	7	Advance/Irregular payment of SOP to HPSEb Limited	174.42	Compliance awaited Para stands.
	9	Excess expenditure incurred over the	69.31	Compliance awaited Para stands.

		amount of deposit received Rs. 69.31 lakh		
	10	Unspent money under deposit works and Blockage of Govt. money Rs. 43.80 lakh	43.80	Compliance awaited Para stands.
	13	Irregular expenditure Rs. 808.44 lakh	808.44	Compliance awaited Para stands.
	18	Non-crediting of forfeited earnest money to the Govt. Revenue Rs. 0.75 lakh	0.75	Compliance awaited Para stands.
	19	Non-forfeiture of earnest money Rs. 0.34 lakh	0.34	Compliance awaited Para stands.
2014-15	1	Blockage of funds due to non-utilization of deposited funds Rs. 49.00 lakh	49.00	Compliance awaited Para stands.
	2	Unfruitful expenditure on Pdg. LWSS to NC/PC habitation of Gwalpur, Teban and Sarahan Rs. 365.61 lakh Undue aid to contractors Rs.16.47 lakh and cost overrun due to time overrun Rs. 39.84 lakh	421.92	Compliance awaited Para stands.
	2(B)	Non-levy of compensation @10%	9.30	Compliance awaited

		amounting to Rs. 9.30 lakh		para stands.
	2©	Procurement of machinery much in advance	26.68	Compliance awaited Para stands.
	2(D)	Advance payment to HPSEB for SOP	63.41	Compliance awaited Para stands.
	3	Idle investment on defunct irrigation schemes	48.97	Compliance awaited Para stands.
	5(A)	Irregular expenditure without obtaining Technical Sanction Rs. 256.80 lakh	256.80	Compliance awaited Para stands.
	5©	Irregular utilization of funds provided for water quality and Sustainability	16.34	Compliance awaited Para stands.
	5(D)	Non-verification of accountal of material	1.46	Compliance awaited Para stands.
	5(E)	Less recovery of royalty charges	0.74	Compliance awaited Para stands.
	5(F)	Irregular award of work after splitting up by the Assistant Engineer in supersession of Financial Powers	23.09	Compliance awaited Para stands.

	5(G)	Non-affording of credit to work	3.01	Compliance awaited Para stands.
	5(H)	Non-affording of debit to work	2.96	Compliance awaited Para stands.
	5(L)	Non-test-check of measurements		Compliance awaited Para stands.
	5(J)	Non-maintenance of records		Compliance awaited Para stands.
	7	Non-verification of accountal of material	5.54	Compliance awaited Para stands.
	12	Outstanding Abiana Charges	1.22	Compliance awaited Para stands.
Annotated initial reply of the Inspection Reports for the years 2014-15 and 2016-17 in respect of I&PH Division, Karsog was not furnished by the Executive Engineer, I&PH Division, Karsog. despite being pointed out in the previous Inspection Report.				
2016-17	1	Unfruitful expenditure due to delay in completion of prov. LWSS to NC/PC Gad NallahRs. 291.69 lakh	291.69	Compliance awaited Para stands.
	2	Irregular utilization of budget at the end of financial year Rs. 75.38 lakh	75.38	Compliance awaited Para stands.
	3	Delay in completion of providing LWSS ParlogKhad to	196.14	Para settled in Adhoc Commitee Meeting vide this office letter

		MahunagBehlidhar scheme sanctioned under NABARD unfruitful expenditure Rs. 196.14 lakh		number 1392-94 dated 15.12.2022. Hence, para is deleted from here.
	4(A)	Excess payment due to irregular fixation of pay on placement Rs. 0.23 lakh	0.23	Compliance awaited Para stands.
	4(B)	Non-recovery of excess paid pay and allowances to Sh. Rakesh Kumar J.E. Rs. 1.53 lakh	1.53	In view of Compliance made by department and verified by Field Audit Party, point is settled.
	5	Irregular expenditure of Rs. 12.41 lakh due to award of work at excessive rates	12.41	Compliance awaited Para stands.
	6	Analysis of work "C/o Providing of WSS to PC habitation GP Mahog, Kuther and Pokhi"		Compliance awaited Para stands.
	6(A)	Irregular utilization of budget Rs. 13.35 lakh	13.35	Compliance awaited Para stands.
	6(B)	Non-credit of the cost of GI pipe transferred from MAS Rs. 12.36 lakh	12.36	Compliance awaited Para stands.
	6©	Wrong debit to the	3.08	Compliance awaited

		work Rs. 3.08 lakh		Para stands.
	6(D)	Irregular splitting up work in smaller jobs estimated cost Rs. 33.86 lakh	33.86	Compliance awaited Para stands.
	6(E)	Excess payment due to award of work at higher rates Rs. 1.94 lakh	1.94	Compliance awaited Para stands.
	6(F)	Non-test-check of measurements		Compliance awaited Para stands.
	6(G)	Non-forfeiture of earnest money to the Govt. Rs. 0.05 lakh	0.05	Compliance awaited Para stands.
	7	Irregular grant of 4/9/14 increments to the category of technicians		Compliance awaited Para stands.
	8	Non-surrender of saving under the head salary Rs. 180.02 lakh	180.02	Para settled in Adhoc Committee Meeting vide this office letter number 454-56 dated 26.03.2024. Hence, para is deleted from here.
	9	Non-ledgering of indents in contractor ledger and non-verification of accountal of material issued to the contractors Rs. 11.14	11.14	Compliance awaited Para stands.

		lakh		
	10	Non-levy of compensation Rs. 8.23 lakh	8.23	Compliance awaited Para stands.
	14	Non-crediting of lapsed deposit to Govt. revenue Rs. 15.06 lakh	15.06	Compliance awaited Para stands.
	15	Non-forfeiture of earnest money to the Govt. Rs. 0.06 lakh	0.06	Compliance awaited Para stands.
2017-18	1	Delay in completion of work "Remodeling of LIS Shakra in GP Shakra, Tehsil Karsog Distt. Mandi" unfruitful expenditure Rs.220.94 lakh and undue favour to contractors Rs.9.57 lakh due to non-levy of compensation.		Compliance awaited Para stands.
	2	Unfruitful expenditure on held up construction of "Providing LWSS to NC/PC habitation in G.P. Sojha, Boi, Bandli Tehsil Sundernagar Distt. Mandi (HP)"	43.46	Compliance awaited Para stands.
	3.	Analysis of Work "Providing of LWSS JassalSawindhar and adjoining villages in		

		Tehsil Karsog Dist. Mandi.		
		(a) Delay in award of work to the contractor.		Compliance awaited. Sub Para Stands.
		(b) Irregular incurring of expenditure in excess of budget provision, irregular preparation of transfer entry orders and irregular concealment of expenditure.		Compliance awaited. Sub Para Stands.
		(c) Irregular splitting up of work in smaller jobs estimated cost.	338.00	Compliance awaited. Sub Para Stands.
		(d) Non deduction of royalty charges from contractor bill.	0.17	Compliance awaited. Sub Para Stands.
		(e) Non maintenance of contractor ledger.		Compliance awaited. Sub Para Stands.
		(f) Non-test check of measurements.		Compliance awaited. Sub Para Stands.
	5.	Non-levy of compensation undue financial favour to contractors.	0.41	Compliance awaited Para stands.
	6	Non deduction of royalty charges from	0.14	Compliance awaited Para stands.

		contractor bill.		
2019-20	2	Unfruitful expenditure of Rs.44.96 lakh due to delay in completion of "Providing LWSS to NC/PC habitation Karla Bhartha&Dharog in GP Dhanyara Tehsil Sundernagar District Mandi", and undue favour to contractor due to non levy of compensation Rs. 1.88 lakh and irregular split up of jobs into the smaller jobs by keeping the estimated cost below Rs.10 Lakh.		Compliance awaited Para stands.
	4	Drawl of funds without requirement and irregular utilization of LOC- Rs. 315.92 lakh.		Compliance awaited para stands
	5	Avoidable Payment made to HPSEBL without running of schemes Rs. 17.47 Lakh		Compliance awaited para stands
	6	Irregular huge advance payment of monthly energy charges of Rs. 64.20 lakh		Compliance awaited para stands
	7	Analysis of work:Providing LWSS ParlogKhad to MahunagBehlidhar in Tehsil Karsog, Distt. Mandi (H.P.)		Compliance awaited para stands

	A	Irregular splitting up of work in smaller jobs estimated cost Rs 37944496/-		Compliance awaited para stands
	B	Delay in award of work to the contractor		Compliance awaited para stands
	C	Drawl of funds without requirement and irregular utilisation of LOC Rs. 84.84 lakh.		Compliance awaited para stands
	D	Issue of material to works without requirement – resulting fictitious booking /irregular utilisation of budget Rs. 3.80 Cr.		Compliance awaited para stands
	E	Non verification of recovery of material from the contractor due to non maintenance of contractor ledger		Compliance awaited para stands
	F	Non received of complete material from the Civil Supply Corporation while advance payment made 05 months ago		Compliance awaited para stands
	G	Non-levy of compensation- Rs. 44.87 lakh		Compliance awaited para stands
	H	Non maintenance of site order book		Compliance awaited para stands
	I	Non test check of measurement.		Compliance awaited para stands

	8	Non levy of compensation Rs. 54.69 Lakh.		Compliance awaited para stands
	9	Blockade of Govt. funds on deposit work Rs 550.70 lakh		Compliance awaited para stands
	10	Advance payments to HPSEBL on account of supply of power and non obtaining of UCs Rs. 127.69 lakh.		Compliance awaited Para stands.
	11(A)	Avoidable payments of contract demand violation charges of Rs. 03.14 Lakh		Compliance awaited para stands.
	11(B)	Avoidable payments of Peak Load violation Charges of Rs. 0.25 lakh		Compliance awaited para stands.
	12	Issue of excess material to works without requirement irregular utilization of Budget of Rs. 207.89 lakh		Compliance awaited para stands.
2022-23	1	Unfruitful Expenditure on the incomplete scheme: providing LWSS Sarror Khad to Churag & Tattapani area in Karsog Rs. 2240.56 lakh. Non-levy of compensation Rs. 161.62 lakh and non-deduction of security deposit Rs. 51.24 lakh.		Compliance awaited para stands.

	2	Non kept of payment under suspense head "Misc. Works Advances" and non - obtaining of UCs Rs. 640.93 lakh		Compliance awaited para stands.
	3	Analysis of work		Compliance awaited para stands.
		(A) Irregular Splitting up of works Rs. 35.51 lakh		Compliance awaited para stands.
		(B) Expenditure incurred in excess of A/A & E/S Rs.19.89 Lakh		Compliance awaited para stands.
		(C) Non test check of Measurement		Compliance awaited para stands.
		(D) Irregular expenditure in excess of technical sanction Rs. 15.71 lakh		Compliance awaited para stands.
		(E) Non maintenance of site order book		Compliance awaited para stands.
		(F) Non finalization of Bill and Non-recovery of material amounting Rs. 14400/-		Compliance awaited para stands.
		(G) Wrong debit of Expenditure to other schemes amounting Rs.14.89 lakh		Compliance awaited para stands.
		(H) Delay in award of work		Compliance awaited para stands.
		(I). Recovery from		Compliance awaited

		Contractor & Non maintenance of contractor ledger		para stands.
		(J) Non levy of compensation of Rs. 3.21lakh.		Compliance awaited para stands.
	4	Unfruitful expenditure on incomplete work “Remodeling of WSS Dhaun in GP Bhanera in Tehsil Karsog Rs. 55.06 lakh		Compliance awaited para stands.
	5	Non maintenance of sub cash book by the Divisional office payment made of Rs. 8376.55 lakh		Compliance awaited para stands.
	6	(A) Non recovery of outstanding water charges- Rs.61.80 Lakh. (B) Non recovery of outstanding Abiana charges -Rs. 6434/-.		Compliance awaited para stands.
	7	Blockade of Govt. funds ₹ 957.61 lakh		Compliance awaited para stands.
	8	Avoidable Payment made to HPSEBL without running of schemes of Rs. 46.06 Lakh		Compliance awaited para stands.
	9	Outstanding amount under “Miscellaneous Works Advances” Rs.4.82 lakh.		Updated position has been incorporated in current inspection report as Para OBS-1828569, hence para is deleted from here.

	10	Non crediting of lapsed deposit to Government revenue Rs. 57.00 Lakh.		Compliance awaited para stands.
	11	A) Non deduction of Tax at source (TDS) on income of Rs. 95239/- B) Non deposited/ deduction of contractor Security of Rs.6.84 lakh		Compliance awaited para stands.
	12	Irregular payment made through officials of the Sub division -Rs. 5.77 Lakh		Compliance awaited para stands.
	13	A. Avoidable payments of contract demand violation charges of Rs. 6.18 Lakh. B. Avoidable payments of Peak Load violation Charges of Rs. 20.68 lakh. C. Avoidable payment of lower voltage supply surcharge Rs. 5.68 lakh.		Compliance awaited para stands.
	14	Non-levy of Compensation Rs. 56.55 lakh		Compliance awaited para stands.
	15	Non forfeiture of earnest money to the Government Rs. 2.05 lakh.		Compliance awaited para stands.
	16	Avoidable surcharge paid on late payment of energy bills Rs.2.14 lakh		Compliance awaited para stands.
	17	General Para		Compliance awaited para stands.

PART-IV (Best Practice)

-Nil-

PART-V (Acknowledgement)

The Executive Engineer, Jal Shakti Vibhag, Karsog, Himachal Pradesh extended his cooperation during the audit and also directed the staff under their control for early production of records and reply of audit memos issued during audit. The audit observations were discussed in the exit meeting and all minor irregularities /minor points noticed during the course of audit were also discussed and settled on the spot. The Executive Engineer, Jal Shakti Vibhag, Karsog, assured early compliance of the audit observations raised by the Audit team. The meeting was held in a cordial manner.